their control. Portugal had a monopoly of the highly profitable Eastern trade for nearly a century. In India, Portugal established its trading settlements at Cochin, Goa, Diu and Daman. From the beginning, the Portuguese combined the use of force with trade. In this they were helped by the superiority of their armed ships which enabled them to dominate the seas. A handful of Portuguese soldiers and sailors could maintain their position on the seas against the much more powerful land powers of India and Asia. By threatening Mughal shipping, they also succeeded in securing many trading concessions from the Mughal Emperors.

Under the viceroyalty of Alfonso D'Albuquerque, who captured Goa in 1510, the Portuguese established their domination over the entire Asian coast from Hormuz in the Persian Gulf to Malacca in Malaya and the Spice Islands in Indonesia. They seized Indian territories on the coast and waged constant war to expand their trade and dominions and safeguard their trade monopoly from their European rivals. Nor did they shy away from piracy and plunder. They also indulged in inhuman cruelties and lawlessness. In spite of their barbaric behaviour, their possessions in India survived for a century because they enjoyed control over the high seas, their soldiers and administrators maintained strict discipline, and they did not have to face the might of the Mughal Empire as South India was outside Mughal influence.

In the latter half of the sixteenth century, England and Holland, and later France, all growing commercial and naval powers, waged a fierce struggle against the Spanish and Portuguese monopoly of world trade. In this struggle the latter had to go under. The English and the Dutch merchants were now able to use the Cape of Good Hope route to India and so join in the race for empire in the East. In the end, the Dutch gained control over Indonesia and the British over India, Sri Lanka, and Malaya.

In 1602, the Dutch East India Company was formed and the Dutch States General—the Dutch parliament—gave it a charter empowering it to make war, conclude treaties, acquire territories and build fortresses. The main interest of the Dutch lay not in India but in the Indonesian